

Applied Materials, Inc.

Recommendation BUY

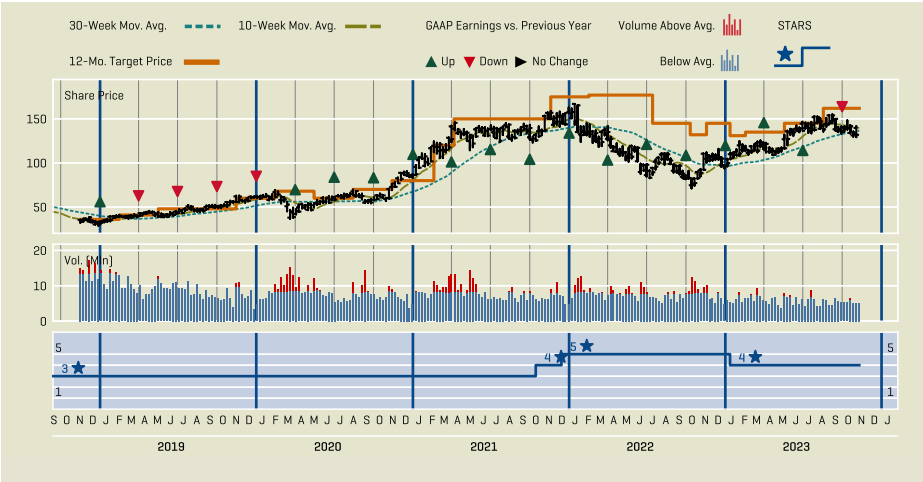
Price USD 150.68 [as of market close Nov 10, 2023] 12-Mo. Target Price USD 162.00 Report Currency USD Investment Style Large-Cap Growth

Equity Analyst Brooks Idlet, CFA

GICS Sector Information Technology Sub-Industry Semiconductor Materials and Equipment Summary Applied Materials is the world's largest manufacturer of wafer fabrication equipment for the semiconductor industry.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]							
52-Wk Range	USD 155.26 - 93.67	Oper.EPS2023E	USD 7.98	Market Capitalization[B]	USD 119.77	Beta	1.59
Trailing 12-Month EPS	USD 7.96	Oper.EPS2024E	USD 8.10	Yield [%]	0.89	3-yr Proj. EPS CAGR[%]	8
Trailing 12-Month P/E	18.93	P/E on Oper.EPS2023E	18.88	Dividend Rate/Share	USD 1.28	SPGMI's Quality Ranking	A+
USD 10K Invested 5 Yrs Ago	43,534.0	Common Shares Outstg.[M]	837.00	Trailing 12-Month Dividend	USD 1.48	Institutional Ownership [%]	82.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Brooks Idlet, CFA on Sep 01, 2023 07:00 PM ET, when the stock traded at USD 148.10.

Highlights

- ▶ We see sales falling 3% in FY 24 [Oct.] after our forecast for a 2% rise in FY 23 and a 12% increase in FY 22. In Semiconductor Systems [-1% in Jul-Q], strong ICAPS demand is being more than offset by weakness in leading-edge logic and memory, especially in NAND [down ~80% Y/Y]. We see Chinese ICAPS demand softening in FY 24, partially offset by higher demand from the U.S./Europe/Japan and growth in advanced packaging. Applied Global Services [AGS] sales grew 3%, and we think the segment has further upside with its strong retention rate [>90%] and an ongoing shift toward long-term subscriptions [now ~60% of segment revenue]. Display sales are declining [-29% in Apr-Q] on weak consumer demand, but we think the segment grows long-term from rising mobile adoption for OLED in 5G/foldable displays.
- ▶ We see gross margin between 46% and 47% for both FY 23 and FY 24, near the margin posted in FY 22. We anticipate lower system sales volume in FY 24, but expect higher capital intensity at the trailing edge to benefit AMAT.
- ▶ We anticipate FCF of \$7.1B in FY 23 and \$6.0B in FY 24, compared to \$4.6B in FY 22. We note cash of \$6.5B and favorably view AMAT's commitment to return >80% of FCF to investors long term.

Investment Rationale/Risk

- ▶ Our Buy rating is based on AMAT's reasonable valuation and market leadership across multiple process categories, positioning the company for solid growth as the industry bounces back from macro-driven softness. We see higher spending from foundry/logic technology transitions driving increasing revenue for tools in etch and deposition while it also sees higher orders from the increasing use of high-bandwidth memory [HBM] applications in the DRAM space. We think AGS will benefit from a growing installed base and higher demand from trailing node geometries, with its rising exposure to recurring revenue driving multiple expansion. We positively view AMAT's increased relevance for new device architectures as the transition from FinFET to GAA transistors leads to market share gains.
- ▶ The biggest risk to our rating is that increasing tensions with China [27% of Jul-Q sales] could result in further export restrictions that cover more mature technologies.
- ▶ Our 12-month target of \$162 is 20x our FY 24 EPS of \$8.10, near semi equipment peers. We think AMAT continues to be a share taker in areas like advanced packaging, etch, and deposition as manufacturing processes evolve.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment reflects the historical cyclicality of the semiconductor equipment industry, a lack of visibility in the intermediate term, the dynamic nature of changes in semiconductor technology, and intense competition. This is offset by AMAT's market leadership, size, and solid balance sheet.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2025	E 6,162	E 6,470	E 6,717	E 6,995	E 26,345
2024	E 6,570	E 6,400	E 6,175	E 6,065	E 25,210
2023	6,739	6,630	6,425	E 6,510	E 26,304
2022	6,271	6,245	6,520	6,749	25,785
2021	5,162	5,582	6,196	6,123	23,063
2020	4,162	3,957	4,395	4,688	17,202

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2025	E 2.00	E 2.10	E 2.18	E 2.27	E 8.55
2024	E 2.09	E 2.05	E 2.00	E 1.96	E 8.10
2023	2.03	2.00	1.90	E 2.05	E 7.98
2022	1.89	1.85	1.94	2.03	7.70
2021	1.39	1.63	1.90	1.94	6.84
2020	0.98	0.89	1.06	1.25	4.17

Fiscal Year ended Oct 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.3200	Sep 07	Nov 22	Nov 24	Dec 14 '23
0.3200	Jun 08	Aug 23	Aug 24	Sep 14 '23
0.3200	Mar 10	May 24	May 25	Jun 15 '23
0.2600	Dec 12	Feb 22	Feb 23	Mar 16 '23

Dividends have been paid since 2005. Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Applied Materials, Inc.

Business Summary Aug 23, 2023

CORPORATE OVERVIEW. Applied Materials (AMAT) is the worldwide leader in the manufacturing of semiconductor capital equipment. AMAT divides its business into three segments: Semiconductor Systems [73% of FY 22 sales], Applied Global Services [21%], and Display and Adjacent Markets [5%].

The Semiconductor Systems segment is focused on developing and selling equipment for use in the front end of the semiconductor fabrication process. This equipment is used in many important steps of the semiconductor fabrication process, including patterning, transistor and interconnect fabrication, metrology, inspection and review, and packaging technologies for connecting finished integrated circuit (IC) die. AMAT’s patterning systems and technologies address the challenges resulting from shrinking pattern dimensions and vertical stacking. Its transistor and interconnect products and technologies enable continued power and performance improvements of 3D transistors. Its metrology, inspection, and review systems’ imaging capabilities and algorithms employ optical and eBeam technologies to meet technical demands in areas including self-aligned double and quad patterning, extreme ultraviolet layers, measurement-intensive optimal proximity correction mask qualification, and new 3D architectures. Its packaging technologies address challenges resulting from the increasing heterogeneous integration of multiple IC dies in a single package. AMAT’s capabilities enable chipmakers to establish statistical process control, ramp production, and achieve high production yields. For FY 22, the segment derived 66% of revenue from foundry/logic customers, 19% of revenue from DRAM customers, and 15% of revenue from flash memory customers.

The Applied Global Services segment [22% of FY 22 sales] provides solutions to optimize and increase productivity at customers’ fabrication facilities (fabs). Through this segment, AMAT provides spares, upgrades, and related services to support its base of about 49,000 installed systems throughout the world. Solutions include performance commitments for tools, expert consulting for fab production problems, a spare parts/legacy equipment/upgrades portfolio, solutions to reduce customers’ environmental impacts, and automation software for fabs.

The Display and Adjacent Markets segment [5% of FY 22 sales] provides products used in the manufacturing of liquid crystal displays (LCDs), organic light-emitting diodes (OLEDs), and other display tech for TVs, monitors, laptops, PCs, tablets, phones, and other devices, as well as the manufacturing of solar energy cells. Solutions include array testing, defect review, chemical vapor deposition (CVD), and physical vapor deposition (PVD). For FY 22, the segment derived 77% of its revenue from customers in China.

CORPORATE STRATEGY. AMAT intends to use its economies of scale and worldwide distribution and support capabilities to fend off competition and grow market share. Its leadership position across multiple key fabrication steps positions it to benefit from ongoing technological innovation in the space, such as the moves towards 3nm nodes, gate-all-around (GAA) transistor structures, and advanced system-in-package (SiP) packaging. Technological innovation is crucial in the semiconductor equipment industry, and AMAT has consistently spent 10%-20% of its revenue on R&D. Recently, AMAT has increased its exposure to the Industrial, Communications, Automotive, Power, and Sensor (ICAPS) markets, inventing over 20 new tools from 2019-2023 in a move that has greatly benefited the company, as these markets have seen strong global demand despite utilizing more mature process technology. In May 2023, AMAT announced a multi-year, \$4 billion investment to construct the world’s largest collaborative semiconductor process technology R&D space (the “EPIC Center”), featuring more than 180,000 sf of state-of-the-art cleanroom, to be used by university researchers, equipment producers, and chipmakers; it expects \$25 billion in R&D to flow to the facility over its first 10 years.

We think AMAT has been successful in leveraging its size and what we see as its broad expertise across segments, with limited exceptions in certain niche segments. The company benefits from a strong track record of quality products and reliable service, making it difficult for competitors to take market share. In our view, AMAT will continue to pursue acquisitions that will allow it to leverage its knowledge and expertise into new areas.

MARKET PROFILE. The semiconductor industry is driven by demand for advanced electronic products, including smartphones and other mobile devices, servers, personal computers, automotive electronics, and storage devices. The growth of data and emerging end-market drivers such as AI, the Internet of Things, 5G networks, smart vehicles, and augmented and virtual reality are also creating the next wave of growth for the industry. As a result, products within the Semiconductor Systems segment are subject to significant changes in customer requirements, including transitions to smaller dimensions, increasingly complex chip architectures, new materials, and an increasing number of applications. The rapid pace of technological change can quickly diminish the value of current technologies and products and create opportunities for existing and new competitors. AMAT offers a variety of differentiated products that must continuously evolve to satisfy customers’ requirements to compete effectively in the marketplace.

FINANCIAL TRENDS. AMAT’s business has historically been highly cyclical. When demand for semiconductors is high, chipmakers increase capacity to meet anticipated growth; when demand eventually recedes, chipmakers face underutilization of their facilities and equipment, resulting in a period of reduced equipment purchases. We think AMAT is less cyclical than many of its peers due to its size and product diversification. Return on assets in FY 22 was 18.5%, slightly down from 18.8% in FY 21. Total debt to capital was 31% at the end of FY 22, compared to 32% at the end of FY 21. For the most recently reported July quarter, the company posted revenue of \$6.43 billion (down 1.5% Y/Y) and GAAP EPS of \$1.86 (flat Y/Y).

Corporate information

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Senior VP, CTO & Chair of the Growth Technical Advisory Board

O. Nalamasu

Senior VP, Chief Legal Officer & Corporate Secretary

T. A. Little

Corporate VP, Corporate Controller & Chief Accounting Officer

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SVP, CFO & leads Global Information Services

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Domicile

Delaware

Auditor

KPMG LLP – Klynveld Peat Marwick Goerdeler

Founded

1967

Employees

33,000

Stockholders

2,825



Applied Materials, Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST		HIGHEST		
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation	USD 145.23	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AMAT is overvalued by USD 5.45 or 3.62%			
Volatility	LOW		AVERAGE		HIGH
Technical Evaluation	BEARISH	Since October, 2023, the technical indicators for AMAT have been BEARISH"			
Insider Activity	UNFAVORABLE	NEUTRAL		FAVORABLE	

Expanded Ratio Analysis					
	2022	2021	2020	2019	
Price/Sales	3.05	5.45	3.27	3.60	
Price/EBITDA	9.52	16.41	11.61	14.10	
Price/Pretax Income	10.35	18.55	13.50	16.11	
P/E Ratio	11.65	19.98	14.62	18.33	
Avg. Diluted Shares Outstg. [M]	877.00	919.00	923.00	945.00	
Figures based on fiscal year-end price					

Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		10.82	34.10	13.14
Sales		11.80	20.85	11.90
Ratio Analysis (Annual Avg.)				
Net Margin [%]		25.31	23.96	21.72
% LT Debt to Capitalization		30.28	31.34	34.51
Return on Equity [%]		53.39	47.83	43.39

Company Financials Fiscal year ending Oct 31											
Per Share Data (USD)		2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value		9.66	9.71	7.61	5.09	3.38	5.25	3.09	3.06	2.96	2.24
Free Cash Flow		5.30	5.25	3.69	2.99	3.12	3.21	2.09	0.78	1.28	0.35
Earnings		7.44	6.40	3.92	2.86	2.96	3.25	1.54	1.12	0.87	0.21
Earnings (Normalized)		7.70	6.84	4.17	3.04	4.45	3.25	1.75	1.19	1.07	0.59
Dividends		1.02	0.94	0.87	0.83	0.70	0.40	0.40	0.40	0.40	0.39
Payout Ratio [%]		13.38	14.23	21.75	28.49	19.91	12.22	25.80	35.37	45.24	178.00
Prices: High		167.06	146.00	69.90	55.84	62.40	56.82	31.07	25.71	23.46	18.18
Prices: Low		71.12	59.53	36.64	28.79	31.57	28.02	15.44	14.25	16.40	9.95
P/E Ratio: High		21.70	21.30	16.80	18.40	14.00	17.50	17.80	21.60	21.90	30.80
P/E Ratio: Low		9.20	8.70	8.80	9.50	7.10	8.60	8.80	12.00	15.30	16.90
Income Statement Analysis (Million USD)											
Revenue		25,785	23,063	17,202	14,608	16,705	14,698	10,825	9,659	9,072	7,509
Operating Income		7,822	7,257	4,468	3,372	4,496	3,936	2,150	1,703	1,564	783.00
Depreciation + Amortization		444.00	394.00	376.00	363.00	457.00	407.00	389.00	371.00	375.00	410.00
Interest Expense		228.00	236.00	240.00	237.00	234.00	198.00	155.00	103.00	95.00	95.00
Pretax Income		7,599	6,771	4,166	3,269	4,396	3,816	2,013	1,598	1,448	350.00
Effective Tax Rate		14.10	13.00	13.10	17.20	30.90	7.80	14.50	13.80	26.00	26.90
Net Income		6,525	5,888	3,619	2,706	3,038	3,519	1,721	1,377	1,072	256.00
Net Income (Normalized)		4,766	4,400	2,683	2,034	2,734	2,386	1,260	1,007	926.20	438.80
Balance Sheet and Other Financial Data (Million USD)											
Cash		2,581	5,459	5,738	3,618	4,030	7,276	3,749	4,965	3,162	1,891
Current Assets		15,925	16,107	13,369	10,206	10,604	12,918	8,353	9,261	6,967	5,642
Total Assets		26,726	25,825	22,353	19,024	17,633	19,419	14,570	15,308	13,174	12,043
Current Liabilities		7,379	6,344	4,459	4,447	3,922	4,115	3,632	3,798	2,823	2,443
Long Term Debt		5,457	5,452	5,448	4,713	5,309	5,304	3,125	3,342	1,947	1,946
Total Capital		18,023	18,000	16,285	13,527	12,154	14,653	10,542	12,155	9,815	9,034
Capital Expenditures		787.00	668.00	422.00	441.00	622.00	345.00	253.00	215.00	241.00	197.00
Cash from Operations		5,399	5,442	3,804	3,247	3,787	3,789	2,566	1,163	1,800	623.00
Current Ratio		2.16	2.54	3.00	2.30	2.70	3.14	2.30	2.44	2.47	2.31
% Long Term Debt of Capitalization		30.30	30.30	33.50	34.80	43.70	36.20	29.60	27.50	19.80	21.50
% Net Income of Revenue		25.30	25.50	21.00	18.50	18.20	23.90	15.90	14.30	11.80	3.40
% Return on Assets		18.61	18.83	13.50	11.50	15.17	14.48	8.99	7.47	7.75	4.05
% Return on Equity		53.40	51.60	38.50	35.90	37.50	42.50	23.20	17.80	14.30	3.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Applied Materials, Inc.

Sub-Industry Outlook

Our fundamental outlook for the semiconductor equipment sub-industry for the next 12 months is positive. Foundries are sustaining elevated levels of investment (despite some reported delays in fab construction), while the memory market appears close to bottoming in what has been a rough '23, with softening demand and lower prices leading to meaningful production cuts. We see chip equipment sales rising 7% in '24 following a projected decline of 10% in '23. Political drivers remain a catalyst, with global tensions encouraging countries to localize their semiconductor supply chains. Major examples include the U.S. CHIPS Act, passed in '22, which provides \$52.7B in incentives, and the recently-passed European Chips Act, which provides \$47B. These tensions also create material risks for the industry, especially for equipment makers tied to the leading edge, as the U.S. attempts to restrict China from reaching high-volume capabilities in advanced nodes.

We estimate that memory spending will grow 55% in '24 following a projected decline of 45% in '23 (bottoming in Q3). NAND has been hit particularly hard in '23, with related investments down ~65%, while DRAM has held up relatively well (-19%) on increasing demand for high-bandwidth memory to support emerging AI applications (which are also driving leading-edge logic and back-end advanced packaging), a trend we think will continue in '24. We think previous consolidation in the memory space will allow customers to better sustain a healthy long-term industry landscape and create more predictable cyclical corrections moving forward. In addition, we think China's desire to grow its local chip manufacturing industry is supporting the demand for equipment, most visible in industrial end markets that rely on trailing-edge nodes.

Foundry spending through '24 will likely be driven by 5-nm and below investments. We estimate foundry spending will increase 5% in '24 following a flat-to-down year in '23 and sharp growth (>20%) in '22, driven by the continuation of aggressive expansion projects from industry

leader Taiwan Semiconductor [~\$32B in '24/'23 vs. \$35B in '22 and \$27B in '21], with continued investments from Intel [~\$21B in '24/'23 vs. ~\$25B in '22 and \$19B in '21] and Samsung planning to triple its foundry capacity by '26. We estimate foundries' share in total capex will be about 65%-85% over the next year, and industry sales will continue to be concentrated among these three companies, estimated to comprise ~60% of '24 sales.

We note that equipment providers exposed to the flat panel display industry should benefit from greater penetration for Organic LED (OLED) displays in the long term, offset by continued soft consumer demand in '24. We also see rising orders supported by the emergence of new products and improving demand for devices such as PCs and handsets following a tough '23.

For the most part, balance sheets at the largest equipment providers are healthy and could sustain pronounced cyclical downturns similar to those seen in the past, in our view. For '24, we expect free cash flow to increase modestly, as capex remains elevated and cash from operations improves, which will support greater share repurchases and higher dividend payments to maximize shareholder value, in our view.

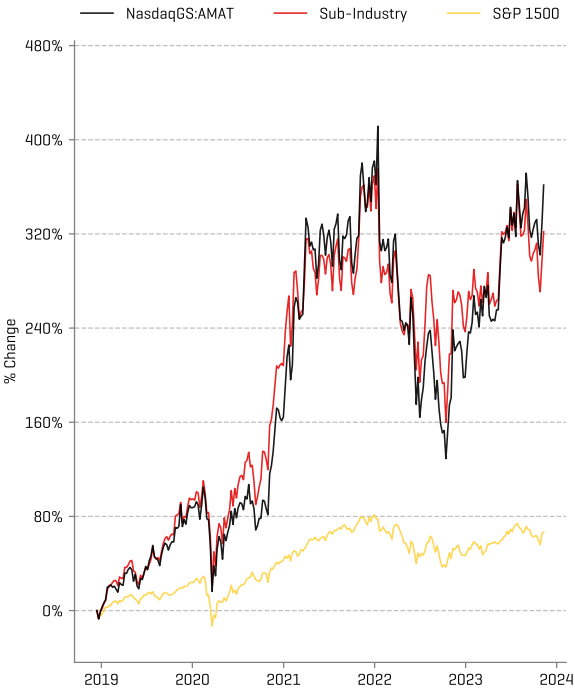
YTD through September 29, the S&P Semiconductor Equipment Index increased 19.7% vs. a 10.9% rise for the S&P 1500. In 2022, the S&P Semiconductor Equipment Index declined 28.2% vs. a contraction of 19.1% for the S&P 1500.

/ Brooks Idlet, CFA

Industry Performance

GICS Sector: Information Technology
Sub-Industry: Semiconductor Materials and Equipment

Based on S&P 1500 Indexes
Five-Year market price performance through Nov 11, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Semiconductor Materials and Equipment Peer Group*: Semiconductor Materials and Equipment												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Applied Materials, Inc.	AMAT	NasdaqGS	USD	143.17	119,767.0	1.2	51.7	18.0	145.23	0.9	47.4	25.8
Amkor Technology, Inc.	AMKR	NasdaqGS	USD	22.93	5,635.0	-1.2	4.1	14.0	24.96	1.3	11.0	18.3
Axcelis Technologies, Inc.	ACLS	NasdaqGS	USD	124.61	4,081.0	-24.6	78.4	18.0	N/A	N/A	32.8	N/A
Enphase Energy, Inc.	ENPH	NasdaqGM	USD	75.56	10,286.0	-39.9	-73.5	14.0	114.07	N/A	70.4	51.3
Entegris, Inc.	ENTG	NasdaqGS	USD	90.61	13,606.0	-6.7	39.7	32.0	76.12	0.4	6.2	61.2
KLA Corporation	KLAC	NasdaqGS	USD	506.39	69,032.0	6.8	50.0	21.0	477.17	1.1	121.9	65.1
Lam Research Corporation	LRCX	NasdaqGS	USD	650.26	85,699.0	2.5	50.3	21.0	564.88	1.2	51.4	38.2
MKS Instruments, Inc.	MKSI	NasdaqGS	USD	67.69	4,527.0	-19.2	4.0	13.0	N/A	1.3	-51.9	63.1
Onto Innovation Inc.	ONTO	NYSE	USD	123.07	6,039.0	-12.0	65.0	35.0	N/A	N/A	10.9	N/A
SolarEdge Technologies, Inc.	SEDG	NasdaqGS	USD	70.33	3,996.0	-43.7	-71.8	9.0	75.33	N/A	9.6	19.4
Teradyne, Inc.	TER	NasdaqGS	USD	84.93	12,984.0	-14.7	0.7	28.0	N/A	0.5	21.5	N/A

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Applied Materials, Inc.

Analyst Research Notes and other Company News

August 18, 2023

10:53 AM ET... CFRA Maintains Buy Recommendation on Shares of Applied Materials, Inc. [AMAT 138.84****]:

We raise our 12-month target by \$17 to \$162, 20x our FY 24 [Oct.] EPS view, near peers. We boost our EPS estimate for FY 23 to \$7.98 from \$7.29, FY 24 to \$8.10 from \$6.84, and initiate FY 25 at \$8.55. AMAT prints Jul-Q EPS of \$1.90, down 2.1% Y/Y, but above consensus of \$1.75. Revenues fell 1.5% Y/Y to \$6.43B, above consensus of \$6.16B, with Semiconductor Systems down 1.2% to \$4.68B, Applied Global Services up 3.1% to \$1.46B, and Display down 29.4% to \$235M. AMAT's ICAPS business has offset memory weakness in recent quarters and the strength is likely to accelerate into early FY 24 as clarification of export control rules allows AMAT to ship to more Chinese customers. We think domestic Chinese demand is being pulled forward given the possibility of more restrictions, but a FY 25 ICAPS slowdown will likely be offset by strength in leading-edge logic, as major fabs ramp up and memory potentially recovers. We are confident in the industry's long-term growth path and AMAT's leading position in multiple categories. / Brooks Idlet

May 19, 2023

08:04 AM ET... CFRA Maintains Buy Recommendation on Shares of Applied Materials, Inc. [AMAT 128.10****]:

We raise our 12-month target by \$10 to \$145 based on P/E of 19.5x our CY 24 EPS view of \$7.43, near peers. We raise our FY 23 EPS estimate to \$7.29 [from \$6.98] and cut FY 24's to \$6.84 [from \$7.00]. AMAT prints Apr-Q EPS of \$2.00 vs. \$1.85, above our expectations. AMAT realized 6% revenue growth Y/Y [-2% Q/Q] in Apr-Q to \$6.63B, driven by 11.6% increase in System sales Y/Y [-3.6%] to \$4.98B, which should remain somewhat resilient due to backlog and trailing edge demand. AGS revenue increased 3.3% Y/Y [+4.3%] to \$1.43B, driven by trailing edge utilization [vs. leading edge ~70%, headwind to growth]; we expect AGS sales to be flat sequentially. Offset slightly by 55.9% decline Y/Y [flat] in Display and Adjacent revenue to \$168M due to weaker consumer demand. We are encouraged by the sustained trailing edge spending out of China, driving higher capital intensity. AMAT raised dividend 23% and initiated \$10B repurchase authorization; we expect AMAT to return >80% FCF to shareholders long-term [\$1.2B in Apr-Q]. / Keven Young

April 10, 2023

02:02 PM ET... CFRA Maintains Buy Recommendation on Shares of Applied Materials, Inc. [AMAT 116.11****]:

Samsung Electronics plans to cut memory chip production by a "meaningful level" after reporting its lowest profit since the financial crisis, which we view as positive for semiconductor industry pricing and the ability to spend on wafer fabrication equipment. We have been awaiting this announcement for several months following other company guidance [MU cut production by more than 40% in FY 23]. AMAT is expected to release Fiscal Q2 earnings on May 18, 2023. We are encouraged by AMAT's new Sculpta patterning system that can be a simpler, faster, and more cost-effective alternative to EUV patterning at some layers. AMAT controlled 23% market share in patterning in 2017 and expanded to about 29% exiting 2021. We expect AMAT to continue to take share into the low- to mid-30% range over the next 24 months, with Sculpta a key driver. We raise our FY 23 EPS estimate to \$6.98 from \$6.93 and keep our FY 24 EPS view at \$7.00. We keep our \$135 target price based on P/E of 18.5x our CY 24 EPS view. / Keven Young

February 17, 2023

07:24 AM ET... CFRA Maintains Buy Recommendation on Shares of Applied Materials [AMAT 116.68****]:

We raise our 12-month target by \$4 to \$135 based on P/E of 18.5x our CY 24 EPS view of \$7.30, near peers. We raise our FY 23 EPS estimate to \$6.93 from \$6.75 and raise our FY 24 EPS view to \$7.00 from \$6.81. AMAT prints Jan-Q adj-EPS of \$2.03 vs \$1.89, beating the \$1.92 consensus. AMAT realized 7% Y/Y revenue growth in Jan-Q to \$6.74B, driven by a 13% increase in Systems sales to \$5.16B alongside an increase in backlog sequentially. We expect backlog to begin to tick down in Apr-Q, which we view positively. AGS revenue grew 3.7% Y/Y to \$1.37B, partially offset by a 54% decline in Display and Adjacent markets revenue to \$167M, due to weaker consumer electronics demand. Revenue from China in Jan-Q was 17% down from 32% in the prior year period, which we view positively. However, we are cautious of a slowdown in trailing edge spending out of China which could put pressure on 2023 estimates. AMAT returned \$470M in Jan-Q to shareholders [106% FCF over last 10 years]. We expect AMAT to return 80-100% FCF in future. / Keven Young

January 12, 2023

03:08 PM ET... CFRA Lowers Opinion on Shares of Applied Materials, Inc. to Buy from Strong Buy [AMAT 110.75****]:

AMAT shares are trading up nearly 50% from their closing low on October 10, 2022, and we see a less favorable risk-reward trade off given uncertainty related to domestic China spending and Display and Adjacent revenue given the macroeconomic backdrop. With shares trading at about 16x CY 24 consensus, we have less conviction in valuation, with the risk of a potentially prolonged recession in key regions [U.S. and China]. Yet, we do see the possibility for upside on top- and bottom-line estimates for CY 24 in a shallow U.S. recession and a faster-than-expected rebound in domestic China spending. We positively view AMAT's \$19B backlog entering calendar Q4 [\$12.7B systems, \$5.6B AGS, and \$581M for Display], but we expect >30% of existing backlog to be unfilled inside of 12 months. We cut our 12-month target by \$14 to \$131, applying P/E of 17.6x our CY 24 EPS view of \$7.46, near peers. We lower our FY 23 EPS view to \$6.75 from \$6.88 and cut our FY 24 EPS estimate to \$6.81 from \$7.85. We see FCF of \$7.2B in FY 23. / Keven Young

December 15, 2022

03:44 PM ET... CFRA Maintains Strong Buy Recommendation on Shares of Applied Materials, Inc. [AMAT 105.77****]:

AMAT's eBeam Technology event discussed the market and new products. Since 2016, AMAT has gained 13% market share in the eBeam market [20% process control market, while process control was 13% of WFE in CY21] exiting '21, with 50% market share [vs. KLAC's 6% and ASML's 15%], which we view favorably. With a breakthrough in Cold Field Emissions [CFE], we expect these share gains to continue as CFE has 1.5x higher resolution and 10x faster imaging speed than legacy Thermal Field Emission. We see this technology being used in the inspection of EUV photoresist of DRAM bit lines and Gate-All-Around transistors. AMAT eBeam systems revenue increased 95% in CY 21 to \$1.08B, while services revenues from subscriptions and renewal rates were both >90%. We are encouraged by the launch of SEMVision G10, with a 10x increase in inspection speed. We maintain our 12-month target of \$145 based on a P/E of 21.9x our CY 23 EPS view of \$6.63, near peers. We keep our FY 23 EPS at \$6.88 and lower our FY 24 EPS to \$7.85 from \$8.11. / Keven Young

November 18, 2022

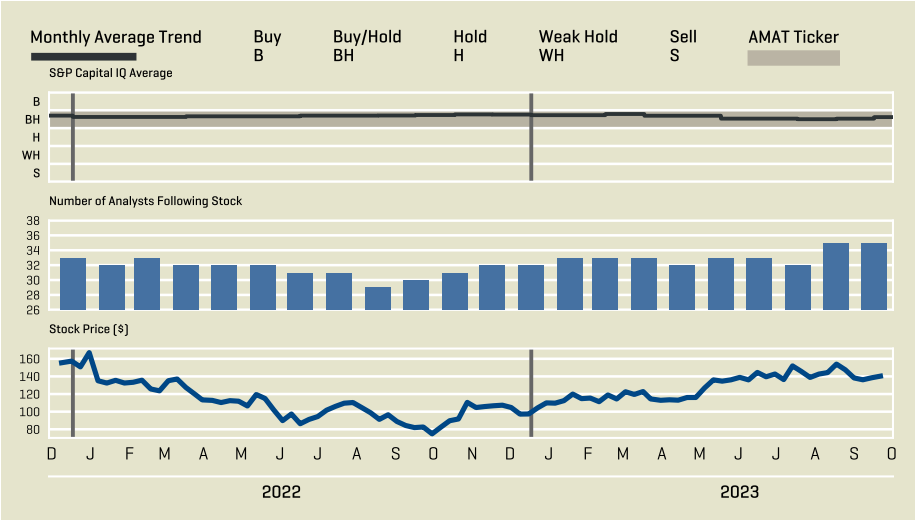
09:04 AM ET... CFRA Maintains Strong Buy Recommendation on Shares of Applied Materials, Inc. [AMAT 108.70****]:

We raise our 12-month target by \$13 to \$145, 21x our CY 23 EPS view of \$6.89, near peers. We lower our FY 23 [Oct.] EPS estimate to \$6.88 from \$7.74 and cut FY 24 EPS view to \$8.11 from \$8.40. AMAT prints Oct-Q adj-EPS of \$2.03 vs \$1.94, beating the \$1.74 consensus. AMAT realized 10% revenue growth Y/Y in Oct-Q to \$6.75B [+12% for FY 22 Y/Y, \$25.79B] driven by System sales which rose 17% to \$5.04B, alongside 4% rise in AGS sales, partially offset by 40% decline in Display & Adjacent Markets revenue. We now expect WFE to decline in 2023 and see AMAT outperforming the industry for three reasons: 1) \$19B backlog which rose 62% Y/Y [\$12.7B systems backlog], 2) increased relevance towards foundry/logic node transitions [metrology share gains, advanced packaging, etc], and 3) AGS is positioned for steady growth as subscriptions gain traction rapidly. AMAT repurchased \$1.5B in stock in Oct-Q [\$6.1B in FY 22, 151% of FCF], which we view favorably and we expect AMAT to return >85% of FCF to shareholders in long-term. / Keven Young

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Applied Materials, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	17	49	17	16
Buy/Hold	6	17	6	3
Hold	9	26	9	10
Weak hold	2	6	2	3
Sell	0	0	0	0
No Opinion	1	3	1	0
Total	35	100	35	32

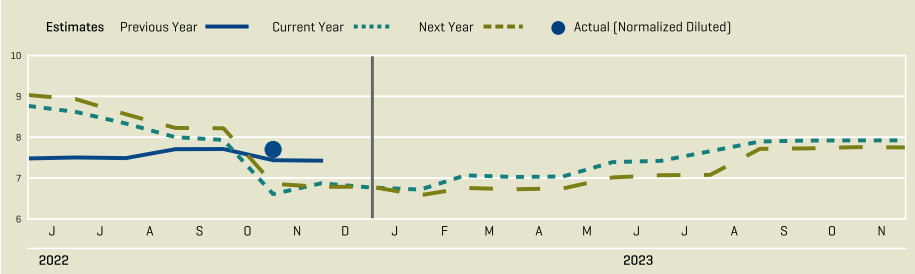
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that AMAT will earn USD 7.92. For fiscal year 2024, analysts estimate that AMAT's earnings per share will grow by -2.16% to USD 7.75.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	7.75	9.02	5.87	28	18.48
2023	7.92	7.99	7.82	28	18.08
2024 vs. 2023	▼ -2%	▲ 13%	▼ -25%	N/A%	▲ 2%
Q4'24	2.03	2.49	1.63	18	70.36
Q4'23	1.99	2.05	1.88	27	71.88
Q4'24 vs. Q4'23	▲ 2%	▲ 21%	▼ -13%	▼ -33%	▼ -2%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Applied Materials, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Applied Materials, Inc.

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Stocks are ranked in accordance with the following ranking methodologies:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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